

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-01

20230930-DK-BUTTERFLY-1, INC.

v.

BAL CONTAINER LINE CO., LIMITED

**COMPLAINANT 20230930-DK-BUTTERFLY-1, INC.'S
MOTION TO COMPEL DISCOVERY
FROM RESPONDENT BAL CONTAINER LINE CO., LIMITED**

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Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant” or “BBBY”),¹ by and through its undersigned counsel, hereby moves to compel (1) production of documents in response to its First Set of Requests for Production of Documents and Electronically Stored Information (the “BBBY RFPs”) and (2) answers to Complainant’s First Set of Interrogatories (the “BBBY Interrogatories” and, together with the BBBY RFPs, the “BBBY Discovery Requests”) propounded upon Respondent BAL Container Line Co., Limited (“Respondent”). This Motion to Compel (“Motion”) sets forth: (1) Complainant’s efforts to confer in good faith and obviate the necessity of this Motion, (2) copies of the BBBY Discovery Requests and (3) the responses thereto, and a request for relief and supporting arguments as required by 46 C.F.R. § 502.150. It is supported by the Declaration of J. Zachery Morris (“Morris Declaration”) and the exhibits attached thereto.

Complainant’s Verified Complaint in this action (the “Complaint”) alleges two causes of action against Respondent under the Shipping Act of 1984, as amended, contending that Respondent has violated the Shipping Act by:

- assessing improper detention and demurrage charges that constituted unjust and unreasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers (Count I); and
- unreasonably refusing to deal or negotiate with Complainant with respect to the improper detention and demurrage charges (Count II).

The BBBY Discovery Requests seek discovery of evidence that is centrally relevant to Complainant’s two causes of action and Respondent’s asserted defenses, including:

- How Respondent calculated and assessed detention and demurrage charges for Complainant’s cargo;

¹ Complainant filed a change of name certificate with the New York State Division of Corporations, State Records, and Uniform Commercial Code on September 21, 2023 by and through which Complainant changed its corporate name from Bed Bath & Beyond, Inc. to 20230930-DK-Butterfly-1, Inc.

- How Respondent addressed issues or conditions affecting the flow of Complainant's cargo;
- Respondent's policies and practices for assessing, waiving, and refunding detention and demurrage charges;
- Respondent's policies and practices concerning the ability of shippers to pick up their cargo;
- The defenses that Respondent has asserted with respect to Complainant's claims (such as asserting that Respondent's conduct, practices, and policies were neither unjust nor unreasonable; and Respondent's invocation of *force majeure* and Acts of God as the cause of Complainant's damages);
- The corporate structure of Respondent and its financial performance resulting from its unjust and unreasonable practices;
- Respondent's document retention practices; and
- The identity of individuals with knowledge about these same topics.

Respondent seeks to impose limits on complying with its discovery obligations that are neither supported by the Federal Maritime Commission's Rules of Practice and Procedure (the "Rules") nor appropriate to this particular case. Respondent's efforts to evade its discovery obligations are inconsistent with the Scheduling Order in this action, which tracks in relevant part the Joint Status Report and proposed discovery schedule to which Respondent agreed.² Respondent has flatly refused to provide discovery that directly relates to certain claims in the Complaint, despite the fact that Respondent did not file a motion to dismiss any of Complainant's causes of action in this case.

Following multiple teleconferences and correspondence between counsel, the parties have reached an impasse with respect to the majority of Complainant's requests. In an effort to reach a mutually agreeable resolution, Complainant has accommodated Respondent's counsel's need to extend the discovery timeline (*see* Joint Motion to Extend Deadline, Dkt. 20), has provided

² *See* Scheduling Order, Dkt. 18; Joint Status Report, Dkt. 17.

proposed protocols to facilitate the exchange of electronically stored information, provided a proposed protective order for the exchange of confidential and proprietary information, and has provided additional context on the substance and purpose of its Requests. This impasse is exemplified by Respondent's objections to the BBY Discovery Requests, in which Respondent repeatedly refuses to provide substantive responses to requests as simple as asking Respondent to identify the documents it referred to in responding to Complainant's interrogatories. Respondent served an initial set of responses and objections on April 8, 2025, and served amended responses and objections today, April 22, 2025. Having previously raised these issues with Respondent's counsel during conferences on April 18 and 21, 2025, and cognizant of the updated schedule set forth in the Presiding Officer's April 7, 2025 Order, Dkt. 21, setting April 22, 2025 as the date to raise unresolved disputes with the Presiding Officer, Complainant now brings this Motion and requests that it be granted.

I. BACKGROUND

As detailed in the Complaint, Complainant alleges that at least a substantial majority of the detention and demurrage charges imposed by BAL and paid by Complainant during the 2021-2022 shipping year (the "Charges") were assessed for periods of time in which Complainant's ability to pick up containers, or return empty containers promptly, was constrained due to circumstances outside the control of Complainant, such as port congestion and equipment shortages.

Consistent with and in furtherance of these allegations, on March 4, 2025, Complainant served the BBY Discovery Requests,³ seeking focused discovery from Respondent of information, documents, and communications directly relevant to the pending claims and defenses raised by the parties, as well as the identities of persons with relevant knowledge and information.

³ Morris Decl. Exs. A, B.

The discovery sought by Complainant includes Respondent’s policies and practices concerning detention and demurrage charges, how Respondent addressed issues or conditions affecting the flow of Complainant’s cargo, Respondent’s corporate structure and financial performance stemming from Respondent’s conduct, and the defenses invoked by Respondent in response to Complainant’s claims. Complainant has also shared a proposed joint confidentiality stipulation with Respondent, which would allow designation of documents and information as “Confidential” or, for competitively sensitive or otherwise highly confidential documents and information, “Attorneys Eyes Only.” Respondent has refused to search for and produce documents and information in response to a significant portion of Complainant’s discovery requests as set forth in both its original April 8, 2025 responses⁴ and objections and its April 22, 2025⁵ amended responses and objections.

II. LEGAL STANDARD

The Commission’s Rules entitle parties to discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense—including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter.”⁶ When a party from whom discovery is sought raises undue burden as an objection, they “must show that the information is not reasonably accessible because of undue burden or cost.”⁷ Even when the producing party makes

⁴ Morris Decl. Exs. C, D.

⁵ Morris Decl. Exs. E, F. On the morning of April 22, 2025, Respondent served amended responses to Complainant’s Interrogatories and Requests for Production. Complainant has reviewed those amended responses and incorporated them into its Motion, and while this Motion is submitted pursuant to the Presiding Officer’s Scheduling Order regarding unresolved discovery disputes and Complainant does not anticipate that Respondent’s position will change such that it will obviate the need for this Motion, Complainant will continue to work with Respondent to resolve such disputes where possible.

⁶ 46 C.F.R. § 502.141(e)(1).

⁷ 46 C.F.R. § 502.141(e)(2)(i).

such a showing, “the presiding officer may nonetheless order discovery from such sources if the requesting party shows good cause.”⁸

“In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.”⁹ “A litigant cannot limit its discovery so as to ascribe unto itself the role of judge and jury.” *Novelty, Inc. v. Mountain View Mktg., Inc.*, 265 F.R.D. 370, 378 (S.D. Ind. 2009); *see also, e.g., Johnson v. Kraft Foods N. Am., Inc.*, 236 F.R.D. 535, 541 (D. Kan. 2006) (“a party may not unilaterally withhold information or documents that are responsive to a discovery request” based on that party’s own interpretation of relevance); *Champion Foodservice, LLC v. Vista Food Exchange, Inc.*, No. 1:13-cv-1195, 2016 U.S. Dist. LEXIS 1129820, 2016 WL 4468000, at *1 (N.D. Ohio Aug. 23, 2016) (excluding evidence as a sanction against party whose “purported ‘compliance’ [with its discovery obligations] has been based on its own self-serving definition . . . of what constitutes relevant discovery under the Federal Rules” and “applying its own contrived interpretation of what the discovery rules require”). Moreover, a respondent “cannot limit its discovery to what it believes are the core issues in this proceeding nor can it require [the complainant] to produce evidence that claims are valid before producing discovery.” *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, 2021 WL 5908366, at *3–4 (FMC ALJ Dec. 8, 2021) (granting motion to compel).

⁸ *Id.*

⁹ 46 C.F.R. § 502.12.

III. ARGUMENT

Complainant sets forth below the BBY Discovery Requests at issue, Respondent's response (if any), the attempts to secure a sufficient response, and why the response is insufficient. Complete copies of the BBY Discovery Requests, including all instructions and definitions, and Respondent's responses and objections thereto, are attached to the accompanying Morris Declaration as exhibits.¹⁰

A. RFP Nos. 1-2, 4-5; Interrogatory Nos. 5-6, 15: Respondent's Premature Assertion that Responsive Documents Do Not Exist or that Respondent Lacks Technical Abilities to Run Searches and Refusal to Engage an Appropriate Vendor Deprives Complainant of Essential Information Relevant to Its Causes of Action, Especially as These Requests All Related to BBY or BBY Cargo.

Complainant's RFP No. 1: Documents sufficient to identify all persons, including any Intermediaries, who communicated on BBY's behalf with You or any other person acting on Your behalf, including any Intermediaries, concerning BBY Cargo.

Respondent's Response to Request No. 1: Respondent objects to this request on the grounds that it is overly broad and unreasonably burdensome, and is vague as to the term "sufficient to identify" and Respondent states that BBY's booking agents booked space with BAL in their own name, and would not typically (if ever) mention BBY. Complainant is in a better position to know the requested information than Respondent is. At the present time, Respondent does not believe that any relevant and responsive documents exist. Respondent does not have the in-house capability to perform eDiscovery or have a vendor for eDiscovery, and so Respondent will have a manual search performed in the emails of Cathy Sun, Parker Zhu, and Liu Qingzhi for the terms "Bed Bath" or BBB or BBY* or Bedbath* or Bedbath&beyond*.*

Complainant's RFP No. 2: Documents sufficient to identify all persons, including any Intermediaries, who communicated on Your behalf with BBY or any other person acting on BBY's behalf, including any Intermediaries, concerning BBY Cargo.

Respondent's Response to Request No. 2: Respondent objects to this request on the grounds that it is overly broad and unreasonably burdensome, and is vague as to the term "sufficient to identify" and Respondent states that BBY's booking agents booked space with BAL in their own name, and would not typically (if ever) mention BBY. Excluding any communications which may have been sent by BBY regarding this lawsuit and/or a

¹⁰ Morris Decl. Exs. 1-4.

demand for a refund of demurrage/detention fees, Respondent does not believe that it ever communicated with BBY directly. At the present time, Respondent does not believe that any relevant and responsive documents exist. Respondent does not have the in-house capability to perform eDiscovery or have a vendor for eDiscovery, and so Respondent will have a manual search performed in the emails of Cathy Sun, Parker Zhu, and Liu Qingzhi for the terms “Bed Bath” or BBB or BBY* or Bedbath* or Bedbath&beyond*.*

Complainant’s RFP No. 4: All communications with BBY.

Respondent’s Response to Request No. 4: Excluding any communications which may have been sent by BBY regarding this lawsuit and/or a demand for a refund of demurrage/detention fees, Respondent does not believe that it ever communicated with BBY directly. At the present time, Respondent does not believe that any relevant and responsive documents exist. Respondent does not have the in-house capability to perform eDiscovery or have a vendor for eDiscovery, and so Respondent will have a manual search performed in the emails of Cathy Sun, Parker Zhu, and Liu Qingzhi for the terms “Bed Bath” or BBB or BBY* or Bedbath* or Bedbath&beyond*.*

Complainant’s RFP No. 5: All documents and communications concerning BBY or BBY Cargo, including:

- a. Any contracts or agreements with BBY;**
- b. any communications with any Intermediary or Intermediaries concerning BBY or BBY Cargo;**
- c. any issues or conditions affecting the flow of any BBY Cargo to, from, or within any origin, port of loading, destination, or port of discharge, including any congestion, crowding, stacking or inaccessibility of containers, delays, lack of appointments, dual appointment requirements, timing of appointments, or delays, shortages, or availability issues concerning employees, operators, equipment, space, rail service, trucking, chassis, of chassis pools, and any role that Your regulations, practices, policies, procedures, protocols, strategies, or actions may have played in creating or exacerbating such issues;**
- d. the ability of BBY or BBY’s agents, vendors, or service providers to pick up or return containers of BBY Cargo at any destination or port of discharge, and any effect that Your regulations, practices, policies, procedures, protocols, strategies, or actions may have had on such ability; and**
- e. the calculation, assessment, charging, invoicing, negotiation, demand for payment, collection, waiver, or refund of detention or demurrage charges by You or on Your behalf with respect to BBY Cargo.**

Respondent’s Response to Request No. 5: Respondent objects on the ground that this request is unreasonably compound, overbroad, and unduly burdensome. At the present time, Respondent does not believe that any readily-identifiable responsive documents exist because it does not generally communicate with third parties by reference to the

underlying shipper (i.e., BBY), but it reserves its right to amend this response. Respondent does not have a contract with BBY. Respondent does not have the in-house capability to perform eDiscovery or have a vendor for eDiscovery, and so Respondent will have a manual search performed in the emails of Cathy Sun, Parker Zhu, and Liu Qingzhi for the terms “Bed Bath” or BBB or BBY* or Bedbath* or Bedbath&beyond*.*

Complainant’s Interrogatory No. 5: Identify each person who communicated or acted on Your behalf, including any Intermediaries, concerning BBY or BBY Cargo.

Respondent’s Response to Interrogatory No. 5: Respondent objects on the ground that the requested information does not comport with the facts of this case. As counsel for Respondent has relayed to counsel for the Complainant, Respondent does not generally work with intermediaries on the basis of their underlying shipper relationship/interest. As such, Respondent often has no way of easily knowing whether the person/persons it is interacting with are representing “BBY or BBY Cargo.” In addition, Complainant would be in a better position to know this information, since it presumably hired agents to book space on its behalf, and those agents know who they reached out to, to book space with Respondent. Regardless, Respondent has agreed to search the email boxes of key custodians for terms such as “Bed, Bath” and BBY, which will further confirm the above understanding.

Complainant’s Interrogatory No. 6: Identify each person who communicated or acted on BBY’s behalf, including any Intermediaries, with You or any person who acted on Your behalf, including any Intermediaries, concerning BBY or BBY Cargo.

Respondent’s Response to Interrogatory No. 6: Respondent objects on the ground that the requested information does not comport with the facts of this case. As counsel for Respondent has relayed to counsel for the Complainant, Respondent does not generally work with intermediaries on the basis of their underlying shipper relationship/interest. As such, Respondent often has no way of easily knowing whether the person/persons it is interacting with are representing BBY. In addition, Complainant would be in a better position to know this information, since it presumably hired agents to book space on its behalf, and those agents know who they reached out to, to book space with Respondent. Regardless, Respondent has agreed to search the email boxes of key custodians for terms such as “Bed, Bath” and BBY, which will further confirm the above understanding.

Complainant’s Interrogatory No. 15: For the period January 1, 2021 through December 31, 2022, for any origin, port of loading, destination, or port of discharge through which BBY Cargo traveled, describe in detail any issues affecting the flow of containers, including without limitation congestion, crowding, stacking or inaccessibility of containers, delays, lack of appointments, dual appointment requirements, timing of appointments, or delays, shortages or availability issues concerning employees, operators, equipment, space, rail service, trucking, chassis, or chassis pools.

Respondent's Response to Interrogatory No. 15: Respondent objects on the basis that this request is vague and ambiguous, especially as to the term "any issues affecting the flow of containers". Respondent does not believe that Complainant has yet to identify which ports its products flowed through, on Respondent's vessels. The request is also unreasonably overbroad (i.e., "any issues") and would require an immensely long response, which would take an inordinate amount of time to prepare. Furthermore, much of the requested information is likely publicly available and the terminals themselves would have more detailed information than Respondent may have.

Complainant's Argument:

1. Reasons for Impasse

During the parties' meet and confer discussions, Respondent has conceded that the aforementioned requests and interrogatories seek relevant information given that they explicitly mention Complainant (contrary to Respondent's position regarding significant swaths of Complainant's requests and interrogatories, as detailed below). However, Respondent informed Complainant of its belief that few, if any, responsive documents and information exist. Complainant asked for confirmation that Respondent would still conduct proper searches for any responsive documents and information that do exist. Respondent stated that it would ask only three BAL employees listed in Respondent's interrogatory responses—Cathy Sun, Liu Qingzhi, and Parker Zhu—to conduct email searches in response to these requests, and nothing further.

2. Relief Sought

Respondent's assertion that responsive documents may not exist is not a valid justification for not conducting a proper search, or for conducting an improperly constrained search. The fact that Respondent has provided inconsistent objections and responses across interrelated RFPs and interrogatories (e.g., for Request No. 5(b) as compared to Interrogatory No. 15) underscores Respondent's refusal to conduct good faith searches for information, documents, and communications that are squarely relevant to Complainant's claims. Further, Respondent's objections to requests that simply request that Respondent identify persons with knowledge related

to certain relevant topics underscores Respondent's unreasonable and strained position that it will essentially not participate in discovery. RFP Nos. 1, 2, 6 and Interrogatory Nos. 5, 6, 7, 8, 17.

Additionally, the fact that Respondent may require a vendor in order to engage in e-discovery is not an excuse not to fulfill Respondent's discovery obligations, whether (a) through an outright refusal to look for certain documents/communications or (b) improperly limiting its agreement to search to *emails* where responsive material may also be retained in files showing financials related to relevant BBY invoices and detention and demurrage charges, or other databases/folders/electronic repositories for BBY-related documents or through forms of communication other than email. Complainant requests that Respondent be compelled to search for and produce all information, documents, and communications responsive to RFP Nos. 1-2 and 4-5; and otherwise respond to Interrogatory Nos. 5-6 and 15 from all custodians who may have relevant information.

B. RFP Nos. 7-8, 10, 13, 15, 17-18, 23-25; Interrogatory Nos. 2, 4, 16-19: Respondent's Blanket Objections and Refusals to Provide *Any* Documents, with No Substantive Responses, Seek to Avoid Proper Discovery Entirely.

i. Requests related to practices and policies concerning detention and demurrage are plainly relevant despite Respondent's objections.

Complainant's RFP No. 7: All documents and communications concerning Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, concerning detention or demurrage charges, including the calculation, assessment, charging, invoicing, negotiation, demand for payment, collection, waiver, or refund of detention or demurrage charges by You or on Your behalf, any changes to such regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, and any factors considered and justifications for such charges or the amounts thereof from January 1, 2021 through December 31, 2022.

Respondent's Response to Request No. 7: Respondent objects to this request on the grounds that it is overly broad and unduly burdensome. Additionally, this case pertains to the allegation that Respondent's detention and demurrage charges, which were allegedly ultimately paid by Complainant, violated the Shipping Act. This is a fact-specific and fact-intensive analysis pertaining to each individual container at issue in the case. Documents

regarding detention and demurrage “regulations, practices, policies, procedures, protocols, or strategies, or conditions” are not relevant. Respondent further states that it is not a large shipping company that has the types of routine “policies and procedures” that large

Complainant’s RFP No. 8: All documents and communications concerning Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, concerning the ability of any Shipper or Shipper’s agent, vendor, or service provider to pick up that Shipper’s cargo from any destination or port of discharge or to return the containers in which that Shipper’s cargo had been carried to any destination or port of discharge from January 1, 2021 through December 31, 2022.

Respondent’s Response to Request No.8: Respondent objects to this request on the grounds that it is overbroad, unreasonably compound, unduly burdensome, and contains multiple vague and ambiguous terms. Additionally, this case pertains to the allegation that Respondent’s detention and demurrage charges, which were allegedly ultimately paid by Complainant, violated the Shipping Act. This is a fact-specific and fact-intensive analysis pertaining to each individual container at issue in the case. Documents regarding pick-up “regulations, practices, policies, procedures, protocols, or strategies, or conditions” are not relevant. Respondent further states that it is not a large shipping company that has the types of routine “policies and procedures” that large shipping lines have in place. Furthermore, the request seems better directed to a terminal, rather than Respondent.

ii. Requests related to industry-wide issues affecting the movement of cargo and the ability of shippers to pick up or return containers are relevant despite Respondent’s objections.

Complainant’s RFP No. 10: All communications between You and any VOCC (including any VOCC with which You have shared common ownership) or NVOCC or any port or marine terminal operator concerning any condition affecting the flow of cargo containers, including congestion, shortages, delays, or other factors affecting any port or marine terminal through or at which You transported BBY Cargo and all documents and communications concerning any such communications from January 1, 2021 through December 31, 2022.

Respondent’s Response to Request No. 10: Respondent objects on the ground that this request is overly broad (i.e., “all communications” and “any VOCC” and “any condition”), unduly burdensome, and compound. Additionally, this case pertains to the allegation that Respondent’s detention and demurrage charges, which were allegedly ultimately paid by Complainant, violated the Shipping Act. This is a fact-specific and fact-intensive analysis pertaining to each individual container at issue in the case. The request is not narrowly tailored to the issues at hand in this case. Furthermore, the request seems better directed to a terminal, rather than Respondent.

Complainant's RFP No. 13: Documents sufficient to show the effects of port congestion, bad weather delays, labor disputes, shortages of truckers, insufficient rail capacity, empty box shortages in key locations, COVID-19 rules affecting the availability of labor in terminals, depots, yards, quarantining requirements for vessel crews, yard density, shortages of trucks, shortages of chassis, shortages of warehouse space, and any other port-specific or broader supply chain issues, difficulties, or challenges identified by You on Your financial performance from January 1, 2020 through December 31, 2022.

Respondent's Response to Request No. 13: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous. Additionally, this case pertains to the allegation that Respondent's detention and demurrage charges, which were allegedly ultimately paid by Complainant, violated the Shipping Act. This is a fact-specific and fact-intensive analysis pertaining to each individual container at issue in the case. The request is not narrowly tailored to the issues at hand in this case. Furthermore, the request seems better directed to a terminal, rather than Respondent.

Complainant's Interrogatory No. 18: For the period January 1, 2021 through December 31, 2022, describe in detail Your policies, practices and procedures in effect at any origin, port of loading, destination, or port of discharge subject to the conditions identified in Your response to Interrogatory No. 15, to the extent such policies practices or procedures affected the flow of containerized freight, including the pickup or return of containers, detention, demurrage, other accessorial charges, chassis, appointments, delays, shortages, or other conditions at such locations.

Respondent's Response to Interrogatory No. 18: Respondent objects on the basis that this request is vague and ambiguous, especially as to the terms "affected" and "accessorial charges". This request is not limited to issues affecting Complainant's cargo. Furthermore, Respondent does not believe that Complainant has identified which ports its products flowed through, on Respondent's vessels. The request is also unreasonably overbroad and would require an immensely long response, which would take an inordinate amount of time to prepare. Respondent further states that it is not a large shipping company that has the types of routine "policies and procedures" that large shipping lines have in place.

Complainant's Interrogatory No. 19: For the period January 1, 2021 through December 31, 2022, describe in detail any communications or agreements between You and any VOCC concerning conditions affecting the flow of containers at any United States ports, detention charges, demurrage charges, or any other accessorial charges imposed on Shippers or Shippers' vendors or agents.

Respondent's Response to Interrogatory No. 19: Respondent objects that this request overbroad, vague and ambiguous, and inappropriate as an interrogatory. The phrase "concerning conditions affecting the flow of containers" is particularly confusing.

Furthermore, this request seems more appropriate for an RFP (i.e., “communications or agreements”). The request is also unreasonably overbroad, in that it uses the term “concerning” and is not limited to the issues presented in this case.

iii. Requests related to Respondent’s conduct in issuing refunds or waivers of detention and demurrage are plainly relevant despite Respondent’s objections.

Complainant’s RFP No. 15: Documents sufficient to show any refunds or waivers by You or on Your behalf to any Shipper (including any NVOCC) concerning detention or demurrage charges during the period January 1, 2020 through December 31, 2022 and the reasons for each such refund or waiver.

Respondent’s Response to Request No. 15: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous. Respondent further states that the request calls for privileged documents, and this request is not narrowly tailored to the issues in this case. Furthermore, the information is protected by Respondent’s right to financial privacy and is not relevant to this case. Complainant has not articulated the basis of this intrusive request. Respondent’s financial information is not generally discoverable. See, e.g., *Ranney– Brown Distributors, Inc. v. E.T. Barwick Industries, Inc.*, 75 F.R.D. 3, 4 (S.D.Ohio 1977) (finding that “[O]rdinarily, Rule 26 will not permit the discovery of facts concerning a defendant’s financial status, or ability to satisfy a judgment, as such matters are not relevant, and cannot lead to the discovery of admissible evidence.”) *Bogosian v. Gulf Oil Corp.*, 337 F.Supp. 1228, 1230 (E.D.Pa.1971) (finding that questions concerning a defendant’s net worth and ability to satisfy a judgment “are not relevant to the subject matter of the lawsuit”); *United States ex rel. P.W. Berry Company, Inc. v. General Electric Company*, 158 F.R.D. 161, 164 (D.Or.1994) (finding that plaintiff’s tax returns and financial statements were not relevant to the issues in a contract case and therefore subject to a protective order).

Complainant’s Interrogatory No. 16: Describe in detail the actions You took, if any, to ameliorate, or assist Shippers in connection with the flow of containers at any origin, port of loading, destination, or port of discharge subject to the conditions identified in Your response to Interrogatory No. 15.

Respondent’s Response to Interrogatory No. 16: Respondent objects that this request overbroad, vague and ambiguous, and inappropriate as an interrogatory. The terms “flow” and “assist” are susceptible of multiple meanings. Respondent further states that this question is better served upon its agents, which were physically present in the ports of destination and discharge. Respondent also objects on the basis that the ports of loading and origin are not at issue in this case.

iv. Requests related to complaints from other shippers regarding Respondent’s conduct related to detention and demurrage are plainly relevant despite Respondent’s objections.

Complainant's RFP No. 17: All documents and communications from January 1, 2021 through December 31, 2022 discussing or concerning potential, threatened, or filed complaints by any Shipper against You with the Federal Maritime Commission or alleging violations by You of the Shipping Act.

Respondent's Response to Request No. 17: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous. Respondent further states that the request calls for privileged documents. The request also appears to seek documents in an effort to prejudice and harass Respondent.

Complainant's RFP No. 18: All documents and communications from January 1, 2020 through December 31, 2022 discussing or concerning any regulation, practice, policy, procedure, protocol, or strategy adopted by You in response to any potential, threatened, or filed complaints by any Shipper against You with the Federal Maritime Commission or alleging violations by You of the Shipping Act.

Respondent's Response to Request No. 18: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous, and not narrowly tailored to the issues at hand in this case. Respondent further states that the request calls for privileged documents. Respondent further states that it is not a large shipping company that has the types of routine "policies and procedures" that large shipping lines have in place.

Complainant's RFP No. 22: All documents and communications, regardless of date, concerning any instances in which You have been accused or alleged, in any manner, of violating the Shipping Act or have been determined, found, or adjudged to have violated the Shipping Act.

Respondent's Response to Request No. 22: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous. The request also calls for the production of privileged documents. This request seeks information in an effort to harass and unduly prejudice Respondent.

Complainant's Interrogatory No. 17: Identify each person with knowledge of any regulation, practice, policy, procedure, protocol, or strategy adopted or considered by You from January 1, 2021 through December 31, 2022 in response to any potential, threatened, or filed complaints by any Shipper against You with the Federal Maritime Commission or any allegation from a shipper alleging a violation by You of the Shipping Act.

Respondent's Response to Interrogatory No. 17: Respondent objects that this request overbroad, vague and ambiguous, and inappropriate as an interrogatory. The terms "considered" and "protocol" are particularly vague. This request also seeks information protected by the attorney-client privilege.

v. Requests for non-privileged material related to the present action and to Respondent's defenses are plainly relevant despite Respondent's objection.

Complainant's RFP No. 23: All documents and communications concerning this action or any claims or defenses in this action.

Respondent's Response to Request No. 23: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. This request for "all documents and communications" concerning this entire case is wildly inappropriate.

Complainant's RFP No. 24: All documents and communications upon which You relied for Your Answer to Complaint with Affirmative Defenses in this action.

Respondent's Response to Request No. 24: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. This request for "all documents and communications" concerning this entire case is wildly inappropriate.

Complainant's RFP No. 25: All documents and communications that You intend to rely upon in this action or introduce at hearings or at trial in this action.

Respondent's Response to Request No. 25: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. This request for "all documents and communications" concerning this entire case is wildly inappropriate.

Complainant's Interrogatory No. 2: Identify each document to which You referred in order to respond to each of these (and any subsequently served) Interrogatories.

Respondent's Response to Interrogatory No. 2: Respondent objects that this request is unreasonably overbroad. Furthermore, Respondent did not keep a log of those documents it referred to in the process of answering these interrogatories, and does not believe that it has an obligation to create such a log.

Complainant's Interrogatory No. 4: For each response in Your Answer to BBBY's Verified Complaint in this action that was anything other than an unqualified admission, state all facts on which You based such response and identify all documents or communications that support such response.

Respondent's Response to Interrogatory No. 4: Respondent objects on the ground that this request is overly broad and unduly burdensome. See *Lawrence v. First Kansas Bank & Tr. Co.*, 169 F.R.D. 657, 663 (D. Kan. 1996) ("To state 'all' facts in support of a negative proposition, of course, includes an inventory of evidence which defendant itself would offer at trial to refute the claims of plaintiff. Beyond that, however, it would further require defendant to provide essentially a review of facts and commentary to support its evaluation, if any, that the anticipated evidence of plaintiff as to each disputed paragraph of the complaint simply lacks weight or credibility. The request for 'all' facts, based not only upon knowledge, but also upon simply information and belief, adds a significant and unreasonable burden to the task of the answering party.")

Complainant's Argument:

1. Reasons for Impasse

During the parties' two meet and confer discussions, Respondent confirmed that it did not intend to provide *any* responses to the aforementioned requests and interrogatories beyond the boilerplate objections listed. Respondent clarified its position that *any* requests seeking information or documents not explicitly and specifically linked to Complainant are not relevant to this matter and would not be searched for or produced. Respondent also stated that searching for responsive communications would need to be manually conducted by Respondent's staff, and therefore, Respondent considered any requests requiring such searches unduly burdensome.

2. Relief Sought

Respondent's sweeping refusal to provide even the most basic responses to Complainant's requests contravenes the fundamental principles of discovery. The aforementioned requests seek documents, communication, and information regarding core issues in this case, in particular Respondent's policies, practices, and procedures relating to detention and demurrage, port conditions outside of Complainant's control, and Respondent's asserted defenses to Complainant's claims.

These categories of information are directly relevant to Complainant's claims regarding the unjust and unreasonable nature of the detention and demurrage charges that Respondent imposed on Complainant. To permit Respondent unilaterally to impose a sweeping, arbitrary limit on relevance to information and documents that explicitly mention Complainant undermines the entire purpose of discovery. Moreover, Respondent's assertions regarding the alleged undue burden of being required to search for responsive files are equally unavailing given the plain relevance of the requests at issue.

As a threshold matter, Respondent’s undue burden argument is premature. Respondent has not provided any estimate on the number of responsive documents it has, nor the estimated number of likely responsive documents per custodian. Thus, Respondent has failed to establish that the search would be significant enough to constitute undue burden. *See Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe)*, FMC Dkt. No. 23-02, 2023 WL 6391710, at *17 (FMC ALJ Sept. 28, 2023).

The specifics of Complainant’s requests underscore their relevance and reasonableness. For example, **RFP Nos. 7 and 8** simply request documents and communications regarding Respondent’s regulations, practices, policies, and procedures regarding detention and demurrage, including how Respondent calculates, assesses, invoices, and collects, and/or refunds detention and demurrage charges (or how Respondent considered issues preventing a shipper from picking up a container), but Respondent has refused to search for or produce any documents in response to these requests, within the broader scope of its contention during the parties’ meet and confer discussions that any documents or information not explicitly tied to BBBY are not relevant and subject to discovery.

Respondent’s practices regarding detention and demurrage are squarely relevant to Complainant’s claims regarding the unjust and unreasonable nature of the detention and demurrage charges imposed by Respondent. *See Bed Bath & Beyond Inc.*, 2023 WL 6391710, at *18 (FMC ALJ Sept. 28, 2023) (ruling that requests seeking “practices and procedures regarding all shippers, such as all documents and communications concerning [the respondent carrier’s] practices, policies, procedures, protocols, or strategies for relevant issues such as . . . the ability to pick up cargo” are appropriate). Respondent’s contention that it does not have “routine ‘policies and procedures’” does not remove its obligation to search for practices, protocols, or strategies

employed in the course of business even if they are not formalized, static directives. Respondent indicated during the parties' meet and confer discussions that its policies and procedures are often determined by meetings of "higher-ups" in Shanghai, and communications, memos, and other documentation of these decisions are directly relevant to Complainant's detention and demurrage claims. ***Respondent itself asserts in its affirmative defenses*** that "Respondent's conduct, practices, and policies were neither unjust nor unreasonable" and that "Respondent's conduct, practices, and policies were not the proximate cause of Complainant's alleged injuries." Respondent's Answer to Verified Compl., Dkt. No. 15, at 5–6. Complainant is deprived of its ability to respond to these affirmative defenses without the ability to review the "conduct, practice, and policies" at issue as it has requested. Complainant requests that Respondent be compelled to produce all documents and communications responsive to RFP Nos. 7 and 8.

RFP Nos. 10 and 13 and Interrogatory Nos. 18 and 19 ask for communications with relevant entities (and other documents including practices and policies) about issues related to the flow of cargo based on issues such as congestion, shortages, and delays at ports or terminals relevant to this proceeding, but Respondent again indicates that it will not even search for such documents. These requests are directly relevant to the issues in this proceeding related to unprecedented industry congestion and issues related to the (in)ability of shippers to pick up or return containers and factors tied to such (in)ability. *See Bed Bath & Beyond Inc.*, 2023 WL 6391710, at *19 (FMC ALJ Sept. 28, 2023) (finding that inquiries into communications between a respondent carrier and other entities are permitted).

RFP No. 15 and Interrogatory No. 16 relate to conduct concerning refunds or waivers of detention and demurrage charges or conduct by Respondent to ameliorate or assist shippers with moving cargo. First, as set forth below, Respondent's claim of "financial privacy" in response to

RFP No. 15's specific request related to refunds or waivers of detention or demurrage also has no basis and, in any event, the objection and refusal to respond is not supported by the precedent discussing ability to satisfy a judgment. The requests are also plainly relevant to the issues set forth in this proceeding, as Respondent's conduct with respect to whether and how it issued refunds or waivers for detention and demurrage and other conduct to ameliorate issues are important to understanding whether the detention and demurrage charges imposed by the Respondent were unjust and unreasonable. *See Bed Bath & Beyond Inc.*, 2023 WL 6391710, at *19 (FMC ALJ Sept. 28, 2023) (finding that requests about "complaints, refunds, or efforts to ameliorate" are appropriate). Complainant requests that Respondent be compelled to produce all documents and communications responsive to RFP No. 15 and Interrogatory No. 16.

RFP Nos. 17, 18, and 22 and Interrogatory No. 17 relate to complaints by others concerning Respondent's detention and demurrage practices, which is directly relevant to whether Respondent engaged in widespread unreasonable or unjust conduct as it relates to detention and demurrage, with respect to imposing such charges on individual containers and regarding the amounts of such charges. Although Complainant would have agreed to, for example, anonymized data, Respondent has refused to agree to search for or produce *any* documents that do not relate to BBY or BBY cargo specifically. Complainant does not seek attorney-client privileged or attorney work product material, and the Presiding Officer's Initial Order at Paragraph 12 provides a mechanism to log such documents. Complainant therefore requests that Respondent be compelled to produce all documents and communications responsive to RFP Nos. 17, 18 and 22 and otherwise respond to Interrogatory No. 17.

RFP Nos. 23, 24, and 25 and Interrogatory Nos. 2 and 4 ask for a simple set of non-privileged documents related to (1) this proceeding filed with the Commission, (2) documents that

Respondent has relied on in defending this case through answering the Complaint and submitting affirmative defenses, and (3) documents that Respondent will rely on in this proceeding (which, of course, can be amended as discovery proceeds and the parties move into the substantive phases of the proceeding). Respondent's claim that these requests are "wildly inappropriate" lack any citation in authority and Respondent's refusal to respond to these basic requests should be rejected.

With respect to Interrogatory No. 2, which requests the documents relied upon by the Respondent in responding to the Interrogatories, requesting that a recipient of interrogatories identify the documents that they relied upon to respond to such interrogatories is commonplace and eminently reasonable, and allows a party to analyze the concrete factual basis for the responding party's substantive responses. Respondent's claim that it "did not keep a log" of such documents as a means to evade the Interrogatory admits that the Respondent, rather than even attempt to respond to the Interrogatory, carried out preparing its responses in a way that it now claims would make it impossible to respond. That decision, to ignore the Interrogatory altogether, should not permit Respondent to evade its obligation to respond, and the Presiding Officer should require Respondent to trace its steps and identify the documents that it relied on in responding to Complainant's Interrogatories.

With respect to Interrogatory No. 4, which asks for the facts, documents, and communications supporting Respondent's responses in answering the complaint, Respondent also objects by citing a single case (*Lawrence v. First Kansas Bank & Trust Co.*, 169 F.R.D. 657 (D. Kan. 1996)) for the premise that interrogatories asking for "all facts" underpinning a contention (i.e., contention interrogatories) are unduly burdensome by default. Numerous courts have diverged from the approach articulated in that single case over the subsequent decades. *See, e.g., SEC v. Goldstone*, No. CIV 12-0257, 2014 WL 4349507, at *30 n.18 (D.N.M. Aug. 23, 2014)

(collecting cases declining to follow the holding in *Lawrence* that contention interrogatories seeking “all facts” supporting allegations are overly broad or unduly burdensome on their face); *Twigg v. Pilgrim’s Pride Corp.*, No. 3:05-CV-40, 2007 WL 676208, at *11 (S.D.N.Y. Mar. 1, 2007) (finding that contention interrogatories seeking all facts upon which it bases a contention are beneficial in identifying an opponent’s legal theories and the main facts supporting them). Interrogatory No. 4 is narrowly construed to identify the key facts supporting ***Respondent’s Answer***, which is directly relevant to Complainant’s ability to address Respondent’s defenses and which should be readily available, as Respondent just recently filed its Answer and presumably relied upon documents and communications in doing so. Accordingly, the Presiding Officer should require Respondent to respond.

Complainant requests that Respondent be compelled to produce all information, documents, and communications responsive to RFP Nos. 7-8, 10, 13, 15, 17-18, 23-25; and otherwise respond to Interrogatory Nos. 2, 4, 16-19.

C. RFP Nos. 1, 2,¹¹ 6; Interrogatory Nos. 5-8 and 17: Respondent’s Self-Imposed Limit on Identifying Individuals with Relevant Knowledge Impedes Complainant’s Ability to Identify Potential Deponents and Determine the Sufficiency of Respondent’s Document Production.

Complainant’s RFP No. 6: Documents sufficient to identify all persons with decision-making authority concerning Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, with respect to detention or demurrage charges from January 1, 2021 through December 31, 2022.

Respondent’s Response to Request No. 6: Respondent objects on the ground that the term “decision-making authority” is vague and ambiguous. Further, this case pertains to the allegation that Respondent’s detention and demurrage charges, which were allegedly ultimately paid by Complainant, violated the Shipping Act. This is a fact-specific and fact-intensive analysis pertaining to each individual container at issue in the case. The names of the decision-makers at Respondent with regard to detention and demurrage “regulations, practices, policies, procedures, protocols, or strategies, or conditions” are

¹¹ Complainant has not repeated the full text of discovery requests where already set forth to avoid repetition.

not relevant. Respondent has provided Complainant with the names of those individuals who worked on detention and demurrage, day-to-day, at Respondent. The “decision-making authority” is irrelevant to whether the charges at issue violated the Shipping Act.

Complainant’s Interrogatory No. 5: Identify each person who communicated or acted on Your behalf, including any Intermediaries, concerning BBY or BBY Cargo.

Respondent’s Response to Interrogatory No. 5: Respondent objects on the ground that the requested information does not comport with the facts of this case. As counsel for Respondent has relayed to counsel for the Complainant, Respondent does not generally work with intermediaries (such as booking agents or NVOCC’s) on the disclosed basis of their underlying shipper relationship/interest. As such, Respondent often has no way of easily knowing whether the person/persons it is interacting with are representing “BBY or BBY Cargo.” In addition, Complainant would be in a better position to know this information, since it presumably hired agents to book space on its behalf, and those agents know who they reached out to, to book space with Respondent. Regardless, Respondent has agreed to search the email boxes of key custodians for terms such as “Bed, Bath” and BBY, which will further confirm the above understanding.

Complainant’s Interrogatory No. 6: Identify each person who communicated or acted on BBY's behalf, including any Intermediaries, with You or any person who acted on Your behalf, including any Intermediaries, concerning BBY or BBY Cargo.

Respondent’s Response to Interrogatory No. 6: Respondent objects on the ground that the requested information does not comport with the facts of this case. As counsel for Respondent has relayed to counsel for the Complainant, Respondent does not generally work with intermediaries (such as booking agents or NVOCC’s) on the disclosed basis of their underlying shipper relationship/interest. As such, Respondent often has no way of easily knowing whether the person/persons it is interacting with are representing BBY. In addition, Complainant would be in a better position to know this information, since it presumably hired agents to book space on its behalf, and those agents know who they reached out to, to book space with Respondent. Regardless, Respondent has agreed to search the email boxes of key custodians for terms such as “Bed, Bath” and BBY, which will further confirm the above understanding.

Complainant’s Interrogatory No. 7: Identify each person with decision-making authority concerning Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, with respect to detention or demurrage charges from January 1, 2021 through December 31, 2022.

Respondent’s Response to Interrogatory No. 7: Respondent objects on the ground that the term “decision-making authority” is vague and ambiguous. Further, this case pertains to the allegation that Respondent’s detention and demurrage charges, which were allegedly ultimately paid by Complainant, violated the Shipping Act. This is a fact-specific and fact-intensive analysis pertaining to each individual container at issue in the case. Respondent

does not currently have any reason to believe that the charges at issue were not paid (by someone) and so the names of the decision-makers at Respondent with regard to detention and demurrage “regulations, practices, policies, procedures, protocols, or strategies, or conditions” is not relevant. Respondent has provided Complainant with the names of those individuals who worked on detention and demurrage, day-to-day, at Respondent. The “decisionmaking authority” is irrelevant to whether the charges at issue violated the Shipping Act.

Complainant’s Argument:

1. Reasons for Impasse

During the parties’ meet and confer teleconferences, as it relates to RFP No. 6 and Interrogatory No. 7, Complainant clarified that these requests seek information and documents regarding who was in charge of Respondent’s practices, policies, procedures, protocols, or strategies as they related to detention and demurrage, including when to impose, how much, when to not impose, how to bill, whether to require payment at any particular time, whether to provide relief or refunds, discussions about whether to not impose due to certain conditions, responses to regulatory requirements, and whether the amounts charged were tied to costs or based on costs. Respondent stated that BAL employees Cathy Sun and Parker Zhu were responsible for “day-to-day” detention and demurrage administration, but that they did not have higher-level authority beyond that. When Complainant asked if Respondent would identify or search for additional individuals involved in detention and demurrage decision-making, despite acknowledging that policymaking decisions were traditionally made amongst “higher-ups” in Shanghai, Respondent similarly refused to provide information and documents concerning individuals with relevant knowledge in response to RFP Nos. 1, 2, and 6 and Interrogatory Nos. 5-8 and 17.

2. Relief Sought

Respondent’s refusal to identify the full range of individuals who may have relevant knowledge regarding Respondent’s detention and demurrage practices—which is squarely relevant to Complainant’s detention and demurrage claims—deprives Complainant of essential

relevant information. *See Bed Bath & Beyond Inc.*, 2023 WL 6391710, at *18 (FMC ALJ Sept. 28, 2023) (ruling that “requests to identify all persons with decision-making authority are appropriate”). Moreover, Respondent’s statements that it did not generally work with intermediaries do not fully address the requests and interrogatories at issue. Complainant’s RFPs and Interrogatories are not limited to intermediaries, and therefore Respondent’s response regarding its purportedly limited engagement with intermediaries does not exempt it from conducting searches for relevant information. Complainant requests that Respondent be compelled to produce all information, documents, and communications responsive to RFP Nos. 1, 2, and 6 and otherwise respond to Interrogatory Nos. 5-8 and 17.

D. RFP No. 9: Respondent’s Refusal to Search for and Produce Documents Concerning Dwell Time Deprives Complainant of Relevant Discovery

Complainant’s RFP No. 9: Documents sufficient to show, by Shipper (or NVOCC), the average dwell time for cargo containers carried by You, pursuant to a bill of lading issued by You, or otherwise on Your behalf, at each origin, port of loading, destination, and port of discharge through or at which You transported BBY Cargo.

Respondent’s Response to Request No. 9: Respondent states that it does not regularly maintain dwell time data. This information is held by terminals. Furthermore, Complainant has not identified which terminals Respondent carried its cargo to. Respondent also objects that this request is not narrowly tailored to the issue at hand in this case, namely, the dwell time of the containers at issue in this case.

Complainant’s Argument:

1. Reasons for Impasse

Respondent has claimed that it is not required to search for documents concerning dwell time because it does not regularly maintain dwell time data. In response to Complainant’s request that Respondent still conduct a search for relevant documents to confirm whether it may have communications or other documents responsive to this request, Respondent refused to do so.

2. Relief Sought

Information regarding average dwell times is directly relevant to Complainant's claims concerning the reasonableness of the detention and demurrage charges imposed by Respondent. Even if Respondent's assertion that it does not regularly maintain dwell time is accurate, this does not necessarily mean that Respondent does not have *any* documents responsive to this request. Complainant shared detailed information regarding the containers at issue in this matter, as well as a list of container numbers in the draft ESI protocol it shared with Respondent, providing Respondent with sufficient information to identify whether it has documents relevant to this RFP. Moreover, Respondent's contention that the RFP is not tailored to the containers at issue in this case is unavailing, not only because the parameters of discovery impose no such limitation on the scope of relevant discovery but also because Complainant, in fact, requested documents concerning dwell time *specifically* for locations through which BBY cargo passed. This information is ultimately relevant to whether industry-wide issues affected the ability of Complainant *and other shippers* from picking up and returning containers, and is thus directly relevant to the containers at issue here and whether the imposition of detention and demurrage charges on those containers was based on issues outside of Complainant's control. Complainant requests that Respondent be compelled to produce all documents and communications responsive to RFP No. 9.

E. RFP Nos. 17, 18, 21, 22; Interrogatory No. 17: Complainant's Discovery Requests Do Not Seek Privileged Documents

Complainant's RFP No. 17: All documents and communications from January 1, 2021 through December 31, 2022 discussing or concerning potential, threatened, or filed complaints by any Shipper against You with the Federal Maritime Commission or alleging violations by You of the Shipping Act.

Respondent's Response to Request No. 17: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous. Respondent further states that the request calls for privileged documents. The request also appears to seek documents in an effort to prejudice and harass Respondent.

Complainant's RFP No. 18: All documents and communications from January 1, 2020 through December 31, 2022 discussing or concerning any regulation, practice, policy, procedure, protocol, or strategy adopted by You in response to any potential, threatened, or filed complaints by any Shipper against You with the Federal Maritime Commission or alleging violations by You of the Shipping Act.

Respondent's Response to Request No. 18: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous, and not narrowly tailored to the issues at hand in this case. The request also appears to seek documents in an effort to prejudice and harass Respondent. Respondent further states that the request calls for privileged documents. Respondent further states that it is not a large shipping company that has the types of routine "policies and procedures" that large shipping lines have in place.

Complainant's RFP No. 21: Documents sufficient to show Your retention or destruction of documents and communications responsive to any of these Discovery Requests or otherwise concerning or relevant to this action, including any notices to preserve such evidence.

Respondent's Response to Request No. 21: This Request calls for privileged communications, and Respondent objects on that basis. Respondent hereby states that it has not destroyed any documents in response to these requests.

Complainant's RFP No. 22: All documents and communications, regardless of date, concerning any instances in which You have been accused or alleged, in any manner, of violating the Shipping Act or have been determined, found, or adjudged to have violated the Shipping Act.

Respondent's Response to Request No. 22: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous. The request also calls for the production of privileged documents. This request seeks information in an effort to harass and unduly prejudice Respondent.

Complainant's Interrogatory No. 17:

Identify each person with knowledge of any regulation, practice, policy, procedure, protocol, or strategy adopted or considered by You from January 1, 2021 through December 31, 2022 in response to any potential, threatened, or filed complaints by any Shipper against You with the Federal Maritime Commission or any allegation from a shipper alleging a violation by You of the Shipping Act.

Respondent's Response to Interrogatory No. 17: Respondent objects that this request overbroad, vague and ambiguous, and inappropriate as an interrogatory. The terms "considered" and "protocol" are particularly vague. This request also seeks information protected by the attorney-client privilege.

Complainant's Argument:

1. *Reasons for Impasse*

Respondent asserts that these RFPs and Interrogatories improperly seek privileged information and documents, despite instructions in both the BBY RFPs and the BBY Interrogatories that if Complainant considers any documents, communications, and/or information sought by any discovery request to be subject to withholding from production due to privilege, Complainant requests that such withheld materials be identified in a privilege log, in keeping with Rule 26(b)(5) of the Federal Rules of Civil Procedure and the Presiding Officer's Initial Order in this case. Complainant reiterated during the parties' meet and confer discussions that its discovery requests do not seek any privileged information. Respondent has nevertheless refused to search for relevant documents and information responsive to these requests and interrogatory.

2. *Relief Sought*

Interrogatory No. 17 and RFP Nos. 17, 18, and 22 seek documents and information concerning the reasonableness of Respondent's practices and Respondent's compliance with the Shipping Act during the specific period covering Complainant's claims. Respondent's affirmative defenses state that "Respondent's conduct, practices, and policies were neither unjust nor unreasonable" and that "Respondent did not commit any Shipping Act violations." Respondent's Answer to Verified Compl., Dkt. No. 15, at 5–6. These requests are directly relevant to Complainant's ability to address Respondent's defenses, and only seek non-privileged documents and information. *See Bed Bath & Beyond Inc.*, 2023 WL 6391710, at *18 (FMC ALJ Sept. 28, 2023) (ruling that requests seeking "practices and procedures regarding all shippers, such as all documents and communications concerning [the respondent carrier's] practices, policies, procedures, protocols, or strategies for relevant issues such as . . . the ability to pick up cargo" are appropriate). Similarly, RFP 21 requests only non-privileged documents regarding Respondent's compliance with its discovery obligations, in tandem with the document retention policy that

Respondent has already agreed to produce in response to RFP 20, to the extent it exists. Complainant reiterates that it does not seek privileged documents via any of its RFPs, and requests that Respondent be compelled to produce all documents and communications responsive to RFPs 17, 18, 21, and 22, and to otherwise respond to Interrogatory 17. Per the Presiding Officer's Initial Order at Paragraph 12, Respondent may log such privileged documents or meet and confer with Complainant to discuss a procedure for the treatment of responsive but privileged documents and communications.

F. RFP Nos. 11, 14, 15, 19; Interrogatory Nos. 8, 11: Respondent's Improper Invocation of Financial Privacy Deprives Complainant of Discoverable Information

Complainant's RFP No. 11: Documents sufficient to show Your financial performance from January 1, 2020 through the present, including Your quarterly and annual sales, gross revenues, net revenues, gross margin, gross profits or losses, operating profits or losses, and net profits or losses, and the reasons for any increases or decreases in Your revenues and profits.

Respondent's Response to Request No. 11: Respondent objects on the basis that the terms "financial performance" and "reasons" are vague and ambiguous. Furthermore, the information is protected by Respondent's right to financial privacy and is not relevant to this case. Complainant has not articulated the basis of this intrusive request. Respondent's financial performance is not generally discoverable. See, e.g., *Ranney-Brown Distributors, Inc. v. E.T. Barwick Industries, Inc.*, 75 F.R.D. 3, 4 (S.D. Ohio 1977) (finding that "[O]rdinarily, Rule 26 will not permit the discovery of facts concerning a defendant's financial status, or ability to satisfy a judgment, as such matters are not relevant, and cannot lead to the discovery of admissible evidence.") *Bogosian v. Gulf Oil Corp.*, 337 F.Supp. 1228, 1230 (E.D.Pa.1971) (finding that questions concerning a defendant's net worth and ability to satisfy a judgment "are not relevant to the subject matter of the lawsuit"); *United States ex rel. P.W. Berry Company, Inc. v. General Electric Company*, 158 F.R.D. 161, 164 (D.Or.1994) (finding that plaintiff's tax returns and financial statements were not relevant to the issues in a contract case and therefore subject to a protective order).

Complainant's RFP No. 14: Documents sufficient to show the total or aggregate amounts, on a monthly basis during the period January 1, 2020 through December 31, 2022, of detention and/or demurrage charges (1) requested, proposed, demanded, negotiated, assessed, imposed, charged, invoiced, or collected, or (2) waived, or refunded by You or on Your behalf with respect to all Shippers other than Complainant.

Respondent's Response to Request No. 14: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous. Respondent further states that the request calls for privileged documents, and this request is not narrowly tailored to the issues in this case. Furthermore, the information is protected by Respondent's right to financial privacy and is not relevant to this case. Complainant has not articulated the basis of this intrusive request. Respondent's financial information is not generally discoverable. See, e.g., Ranney– Brown Distributors, Inc. v. E.T. Barwick Industries, Inc., 75 F.R.D. 3, 4 (S.D.Ohio 1977) (finding that "[O]rdinarily, Rule 26 will not permit the discovery of facts concerning a defendant's financial status, or ability to satisfy a judgment, as such matters are not relevant, and cannot lead to the discovery of admissible evidence.") Bogosian v. Gulf Oil Corp., 337 F.Supp. 1228, 1230 (E.D.Pa.1971) (finding that questions concerning a defendant's net worth and ability to satisfy a judgment "are not relevant to the subject matter of the lawsuit"); United States ex rel. P.W. Berry Company, Inc. v. General Electric Company, 158 F.R.D. 161, 164 (D.Or.1994) (finding that plaintiff's tax returns and financial statements were not relevant to the issues in a contract case and therefore subject to a protective order).

Complainant's RFP No. 15: Documents sufficient to show any refunds or waivers by You or on Your behalf to any Shipper (including any NVOCC) concerning detention or demurrage charges during the period January 1, 2020 through December 31, 2022 and the reasons for each such refund or waiver.

Respondent's Response to Request No. 15: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous. Respondent further states that the request calls for privileged documents, and this request is not narrowly tailored to the issues in this case. Furthermore, the information is protected by Respondent's right to financial privacy and is not relevant to this case. Complainant has not articulated the basis of this intrusive request. Respondent's financial information is not generally discoverable. See, e.g., Ranney– Brown Distributors, Inc. v. E.T. Barwick Industries, Inc., 75 F.R.D. 3, 4 (S.D.Ohio 1977) (finding that "[O]rdinarily, Rule 26 will not permit the discovery of facts concerning a defendant's financial status, or ability to satisfy a judgment, as such matters are not relevant, and cannot lead to the discovery of admissible evidence.") Bogosian v. Gulf Oil Corp., 337 F.Supp. 1228, 1230 (E.D.Pa.1971) (finding that questions concerning a defendant's net worth and ability to satisfy a judgment "are not relevant to the subject matter of the lawsuit"); United States ex rel. P.W. Berry Company, Inc. v. General Electric Company, 158 F.R.D. 161, 164 (D.Or.1994)

Complainant's RFP No. 19: Documents sufficient to show Your current assets, including any insurance policies available to cover reparations, fees, or costs awarded in this action.

Respondent's Response to Request No. 19: Respondent objects on the ground that this request is overly broad, unduly burdensome, and compound. The request is also vague and ambiguous. Furthermore, the information is protected by Respondent's right to financial privacy and is not relevant to this case. Complainant has not articulated the basis of this

intrusive request. Respondent's assets are not generally discoverable. See, e.g., Ranney–Brown Distributors, Inc. v. E.T. Barwick Industries, Inc., 75 F.R.D. 3, 4 (S.D.Ohio 1977) (finding that “[O]rdinarily, Rule 26 will not permit the discovery of facts concerning a defendant's financial status, or ability to satisfy a judgment, as such matters are not relevant, and cannot lead to the discovery of admissible evidence.”) Bogosian v. Gulf Oil Corp., 337 F.Supp. 1228, 1230 (E.D.Pa.1971) (finding that questions concerning a defendant's net worth and ability to satisfy a judgment “are not relevant to the subject matter of the lawsuit”); United States ex rel. P.W. Berry Company, Inc. v. General Electric Company, 158 F.R.D. 161, 164 (D.Or.1994) (finding that plaintiff's tax returns and financial statements were not relevant to the issues in a contract case and therefore subject to a protective order). This request is also premature, given the early stage of this case.

Complainant's Interrogatory No. 8: Identify each person with knowledge of Your financial performance from January 1, 2019 through the present, including the effects of the global COVID-19 pandemic and/or any force majeure event(s) on Your financial performance.

Respondent's Response to Interrogatory No. 8: Respondent objects on the basis that the terms “financial performance” and “effects” are vague and ambiguous. Furthermore, the underlying information is protected by Respondent's right to financial privacy and is not relevant to this case. Complainant has not articulated the basis of this intrusive request. Respondent's financial performance is not generally discoverable. See, e.g., Ranney–Brown Distributors, Inc. v. E.T. Barwick Industries, Inc., 75 F.R.D. 3, 4 (S.D. Ohio 1977) (finding that “[O]rdinarily, Rule 26 will not permit the discovery of facts concerning a defendant's financial status, or ability to satisfy a judgment, as such matters are not relevant, and cannot lead to the discovery of admissible evidence.”) Bogosian v. Gulf Oil Corp., 337 F.Supp. 1228, 1230 (E.D.Pa.1971) (finding that questions concerning a defendant's net worth and ability to satisfy a judgment “are not relevant to the subject matter of the lawsuit”); United States ex rel. P.W. Berry Company, Inc. v. General Electric Company, 158 F.R.D. 161, 164 (D.Or.1994) (finding that plaintiff's tax returns and financial statements were not relevant to the issues in a contract case and therefore subject to a protective order).

Complainant's Interrogatory No. 11: Identify, on a monthly basis, the total revenues You earned from detention charges and demurrage charges from any Shipper (including any NVOCC) from January 1, 2020 through December 31, 2022.

Respondent's Response to Interrogatory No. 11: Respondent objects on the basis that the requested information is protected by Respondent's right to financial privacy and is not relevant to this case. The detention and demurrage charged by Respondent but not associated with Complainant clearly has no relevance in this case. Complainant has not articulated the basis of this intrusive request. Respondent's financial information is not generally discoverable. See, e.g., Ranney–Brown Distributors, Inc. v. E.T. Barwick Industries, Inc., 75 F.R.D. 3, 4 (S.D.Ohio 1977) (finding that “[O]rdinarily, Rule 26 will not permit the discovery of facts concerning a defendant's financial status, or ability to satisfy a judgment, as such matters are not relevant, and cannot lead to the discovery of

admissible evidence.”) *Bogosian v. Gulf Oil Corp.*, 337 *F.Supp.* 1228, 1230 (*E.D.Pa.*1971) (*finding that questions concerning a defendant's net worth and ability to satisfy a judgment “are not relevant to the subject matter of the lawsuit”*); *United States ex rel. P.W. Berry Company, Inc. v. General Electric Company*, 158 *F.R.D.* 161, 164 (*D.Or.*1994) (*finding that plaintiff's tax returns and financial statements were not relevant to the issues in a contract case and therefore subject to a protective order*).

Complainant’s Argument:

1. Reasons for Impasse

Respondent has made blanket objections of financial privacy and lack of relevance to *all* of Complainant’s discovery requests that seek any financially related information, refusing to search for and produce any documents or information.

2. Relief Sought

Complainant’s aforementioned RFPs and Interrogatories specifically seek information directly relating to Respondent’s financial performance/revenues *as a result of Respondent’s practices that Complainant has challenged* in the present proceeding. Complainant has specifically alleged that Respondent “has profited greatly from the conduct alleged”, Compl. ¶ 5, and the information sought is largely tailored to seek (1) “the reasons for any increase or decrease in our revenues and profits” as it relates to whether detention and demurrage drove profitability (RFP No. 11), (2) the total/aggregate amounts of detention and demurrage charged without respect to individual customers (RFP No. 14), (3) amounts of refunds or waivers for detention and demurrage charges (RFP No. 15), persons with knowledge regarding financial performance, including the effects of Covid-19 and/or force majeure on financial performance (Interrogatory No.8), and aggregated monthly revenues from detention and demurrage for the relevant time period (Interrogatory No. 11).¹² Thus, these requests are limited specifically to Respondent’s

¹² To the extent that Respondent objects to RFP No. 19, which requests documents regarding current assets and insurance, Complainant notes that the Administrative Law Judge in *Green Master International Freight Services Ltd.*, FMC Dkt. No. 01-10, 2001 WL 1420471, at *1 (FMC ALJ Oct. 12, 2001), deemed such discovery proper.

practices and procedures leading to higher revenues and profits due to improper detention and demurrage, changes in revenue and profitability tied to such policies and practices, whether and how Respondent issued refunds or waivers for detention and demurrage, whether such charges were reasonable and intended merely to cover costs as opposed to generate profits, and whether Respondent had any actual opportunity costs associated with the demurrage and detention of containers, given port congestion and general container availability.

Respondent cites multiple inapposite cases in support of its blanket claim of financial privacy. For example, Respondent cites *Ranney-Brown Distributors, Inc. v. E.T. Barwick Industries, Inc.*, 75 F.R.D. 3 (S. D. Ohio 1977), in arguing that financial information is not generally discoverable. *Ranney-Brown* concerned a discovery request seeking the content of a discussion between client and attorney concerning the means by which the plaintiff could finance that lawsuit. The trial court there found that such information was not relevant to the requesting party's case in chief and found that the requested discovery should be sought instead under Rule 69 of the Federal Rules of Civil Procedure. *Ranney-Brown*, 75 F.R.D. at 5. Accordingly, *Ranney-Brown* has been cited by other tribunals in support of the premise that Rule 26 of the Federal Rules of Civil Procedure *permits* discovery of financial information for the purpose of proving a party's case in chief, as opposed to for some other purpose. *See, e.g., Groupwell Int'l (HK) Ltd. v. Gourmet Express, LLC*, 277 F.R.D. 348, 359 (W.D. Ky. 2011). The additional cases cited in passing by Respondent fall subject to the same distinction, involving the seeking of financial information not relevant to the requesting party's case in chief, unlike in this present case.

The Commission's Administrative Law Judges have found that where financial documents are relevant to a party's defenses, production of such documents and information may be compelled. *See, e.g., Marine Transport Logistics, Inc. v. CMA CGM, S.A.*, FMC Dkt. No. 22-23,

2024 WL 474879, at *7 (FMC ALJ Jan. 31, 2024) (compelling production of financial documents where such documents were relevant to a party's defense). ALJs have similarly ordered the production of corporate financial documents, finding them relevant to "the issues of whether the respondent has violated the Shipping Act of 1984 as alleged as well as to its ability to pay a civil penalty if such violations are shown to have existed." *Green Master Int'l Freight Servs. Ltd.*, 2001 WL 1420471, at *1. The Presiding Officer, in another proceeding, has also found that requests about "revenues" and about "complaints, refunds, or efforts to ameliorate" are appropriate. *Bed Bath & Beyond Inc.*, 2023 WL 6391710, at *18 (FMC ALJ Sept. 28, 2023).

Complainant has offered to enter into a joint confidentiality stipulation and to file a joint motion for a protective order, which would permit heightened confidentiality protections for any financial documents produced by Respondent. Within this context, because the financial information requested is directly relevant to Respondent's claims and Complainant's defenses, Complainant requests that Respondent be compelled to produce all documents responsive to RFPs 11, 14, 15, and 19, and otherwise respond to Interrogatories 8 and 11.

G. Complainant Has Conferred in Good Faith to Resolve These Disputes, But the Parties Have Reached Impasse, as Demonstrated by Respondent's Blanket Refusals to Answer the BBBY Discovery Requests.

Complainant and Respondent conferred on April 18, 2025 and again on April 21, 2025 to discuss the discovery requests. Complainant informed Respondent on April 18, 2025 that it would request that the Presiding Officer compel responses to relevant discovery requests if Respondent refused to provide relevant information. Respondent confirmed to Complainant on April 21, 2025 that it did not intend to search for and produce information and documents not explicitly tied to Complainant's name and that it would conduct only limited searches even for information and documents that *are* explicitly tied to Complainant's name. Respondent's amended responses and

objections served on April 22, 2025 reaffirmed Respondent's artificially restrictive view of relevance.

As set forth above, the BBY Discovery Requests as propounded are reasonable in scope and targeted to obtain information relevant to Complainant's claims and Respondent's defenses in this case. Respondent's sweeping refusals to comply with the BBY Discovery Requests and its unilateral imposition of artificial limitations on relevance are unreasonable and prejudice Complainant by denying it the very documents and information needed to establish the elements of the causes of action it has alleged and rebut the defenses affirmatively raised by Respondent in its Answer. Accordingly, this Motion to Compel should be granted.

IV. CONCLUSION

For the reasons stated above, Complainant respectfully requests that the Presiding Officer compel Respondent to comply with the BBY Discovery Requests and promptly produce the requested documents and information.

Dated: April 22, 2025

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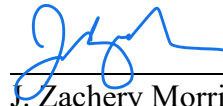
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent BAL Container Line Co., Limited by emailing a copy to its counsel of record listed below:

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